

Equity Waterfall Model â PE Returns Bridge with Preferred Equity, Two-Tranche Common & Gain-Share Threshold

Equity Waterfall Model â PE Returns Bridge #### Model Overview This deliverable builds a fully dynamic equity

Rows: 15

Capital Structure â Sponsor Preferred Investment â Investor: Sponsor ´ • Type: Preferred Equity (8% PIK) ´ • Amount Musd: 100
Capital Structure â Sponsor Common Investment â Investor: Sponsor ´ • Type: Common Equity ´ • Amount Musd: 40
Capital Structure â Rollover Equity (Seller) â Investor: Seller Rollover ´ • Type: Common Equity ´ • Amount Musd: 40
Capital Structure â Management Common â Investor: Management ´ • Type: Common Equity ´ • Amount Musd: 20
Capital Structure â Total Equity â Investor: Total ´ • Type: All ´ • Amount Musd: 200 ´ • Ownership Pct: 100
Deal Assumptions â Entry â Entry Ev Musd: 500 ´ • Entry Ebitda Musd: 50 ´ • Entry Multiple: 10 ´ • Net Debt Musd: 30
Preferred Equity Terms â Preferred Amount Musd: 100 ´ • Preferred Rate Pct: 8 ´ • Compounding: PIK ´ • Hold Years: 3
Common Waterfall â Return of Capital â Sponsor Common Roc Musd: 40 ´ • Rollover Roc Musd: 40 ´ • Management Common Roc Musd: 20
Common Waterfall â Tranche 1 (First \$50M Gains) â Threshold Musd: 50 ´ • Sponsor Share Pct: 40 ´ • Rollover Share Pct: 40
Common Waterfall â Tranche 2 (Gains Above Threshold â Gain Share) â Threshold Musd: 50 ´ • Sponsor Share Pct: 40
Exit Scenario â 8.0x Multiple â Exit Multiple: 8 ´ • Exit Ev Musd: 480 ´ • Net Debt Exit Musd: 250 ´ • Equity Value Musd: 230
Exit Scenario â 9.0x Multiple â Exit Multiple: 9 ´ • Exit Ev Musd: 540 ´ • Net Debt Exit Musd: 250 ´ • Equity Value Musd: 290
Exit Scenario â 10.0x Multiple â Exit Multiple: 10 ´ • Exit Ev Musd: 600 ´ • Net Debt Exit Musd: 250 ´ • Equity Value Musd: 350
Exit Scenario â 11.0x Multiple â Exit Multiple: 11 ´ • Exit Ev Musd: 660 ´ • Net Debt Exit Musd: 250 ´ • Equity Value Musd: 410
Exit Scenario â 12.0x Multiple â Exit Multiple: 12 ´ • Exit Ev Musd: 720 ´ • Net Debt Exit Musd: 250 ´ • Equity Value Musd: 470

Sources: